



CODEVELOPING THE MODEL

U.S. AND ASEAN COOPERATION IN SHAPING AND DEPLOYING AI

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Association of Southeast Asian Nations (ASEAN) member countries and the United States share an innovation-driven approach to artificial intelligence (AI) and a common interest in maximizing its impact. To realize this potential, both sides need to upgrade the architecture and ambition of their cooperation. As it advances the international pillar of its AI Action Plan, the Trump administration should make ASEAN a priority partner. Not only is Southeast Asia a growing market for AI services, but the United States has deep investment, technology, and security ties to key regional countries. Stronger engagement would also help offset the uncertainty and distrust that stems from U.S. tariffs and trade negotiations. For ASEAN countries, the United States offers access to world-leading AI technologies, infrastructure, and expertise—and, under the Trump administration, a partner eager to support their global deployment.

A renewed U.S.-ASEAN AI agenda must be a partnership, not a one-way transaction. While U.S. firms lead the global AI market, policymakers from ASEAN countries are rightly focused on how cooperation can expand local AI capabilities and opportunities. U.S. AI and tech firms are already heavily invested and engaged in the region. However, they could benefit from the U.S. government’s “AI statecraft”—the use of diplomatic, economic, and strategic tools by governments to shape the global development, governance, and deployment of AI in ways that advance national interests and values—to further their engagement and better compete against AI firms from China and elsewhere. This brief outlines the key challenges to deeper U.S.-ASEAN collaboration, compares U.S. and Chinese engagement with ASEAN on AI, and proposes options for a new, more strategic AI agenda for the United States and ASEAN.

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Three Challenges for the United States to Working with ASEAN on AI

U.S. AI statecraft in ASEAN faces three key challenges. First, U.S. tariffs and trade negotiations create an unfavorable context for broader cooperation. Second, it is unclear what resources and expertise the U.S. government can deploy to support AI engagement with ASEAN. Third, it is uncertain whether the Trump administration's AI export strategy will be aligned with ASEAN values and interests.

Can cooperation on AI survive U.S. tariffs and trade negotiations? The resurgence of tariffs under the Trump administration and subsequent trade negotiations between the United States and its major partners have introduced uncertainty that risks spilling over into the digital and AI domains. For ASEAN policymakers, the shifting U.S. trade posture raises questions about the reliability and predictability of broader economic engagement. This trade turbulence complicates efforts to build confidence in U.S.-ASEAN collaboration on AI, as businesses and governments weigh the risks of disrupted supply chains, data-flow restrictions, or retaliatory measures that could affect digital trade. Tariffs and trade talks also divert political attention and institutional bandwidth away from AI statecraft. If cooperation on AI is to endure, both sides will need to insulate their digital and technology partnerships from trade frictions to ensure that economic uncertainty does not undermine shared ambitions to build open, interoperable, and trusted AI ecosystems across the Indo-Pacific.

Can the United States deploy the expertise and resources to support AI engagement in ASEAN? The United States has the technical expertise, institutions, and private-sector capacity to be ASEAN's leading AI partner, but translating that potential into sustained, visible engagement requires political commitment, institutional expertise, and dedicated resource support. U.S. firms, research

institutions, and standards bodies already set global benchmarks in AI innovation and deployment. However, these advantages do not automatically convert into influence or partnership abroad. In the absence of robustly funded diplomatic engagement and development initiatives to advance AI cooperation, U.S. efforts may be eclipsed by China's more coordinated, government-backed approach to AI engagement and deployment across the region.

The question, then, is not whether the United States can lead—it clearly can—but whether Washington will invest in the institutions, mechanisms, and partnerships needed to do so. Sustaining momentum requires continuity of programs, technical assistance, and interagency coordination to bridge trade, innovation, and foreign policy. This is where the Trump administration's policy decisions have mattered most: by determining which AI and digital cooperation initiatives continue, and which are wound down, Washington shapes ASEAN's perception of U.S. reliability and long-term intent.

The Trump administration cut many development programs in Southeast Asia but saved some. For example, it cut the digital policy-specific USAID Better Access and Connectivity project in the Philippines, which included work on AI. It cut the U.S.-Singapore Third Country Training Program, which since 2012 had organized capacity-building courses for Southeast Asian countries, including on digital policy issues. But it saved the ASEAN-U.S. Partnership Program, which supports regional policies, cooperation, and capacity building and is the only program focused on ASEAN remaining. The Standards Alliance and the American National Standards Institute (ANSI) also retain State Department grants on engagement and capacity training for new and emerging technologies like AI. Furthermore, the U.S. International Development Finance Corporation (DFC) not only survives but is likely to receive increased funding and an enhanced focus on digital infrastructure as part of its upcoming congressional reauthorization.¹

Can the Trump administration align U.S. AI strategy with ASEAN values and interests? ASEAN countries, like U.S. trading partners everywhere, wait for details as to how the administration will operationalize the AI Action Plan and whether the full range of policies it outlines, such as export controls, come together in a clear, consistent, and workable framework. There is considerable uncertainty, and concern, over how the Trump administration will reset and balance export promotion and security-driven controls in U.S. AI policy, as well as over what role, if any, there is for ASEAN firms and technology in the U.S.-based AI tech stack.

The Trump administration's AI Exports Program and Action Plan emphasizes U.S. "dominance" of AI and the export of full-stack (U.S.) AI technology packages globally.² The director of the U.S. Office of Science and Technology Policy (OSTP), Michael Kratsios, stated that the goal is "enabling allies and trade partners to build their own sovereign AI ecosystems with secure American technology" and that "through dealmaking and diplomacy, we can create an AI ecosystem that fosters and promotes mutual prosperity and security."³ He also posed the question, in the context of U.S. AI exports, as to how "we meet our customers where they are."⁴

Given these U.S. priorities, a key question for policymakers in ASEAN is whether the U.S. full-stack AI offering is a set course menu or more of a buffet that also includes local options. For U.S.-ASEAN collaboration to succeed, it needs to be the latter. ASEAN diplomatic, economic, trade, and technology strategy is grounded in diversified and mutually beneficial trade and economic partnerships, whether with the United States, China, Japan, the European Union, or other major powers and trading partners. An inflexible, take-it-or-leave-it approach to using the full U.S. AI tech stack clashes with ASEAN's approach to trade and technology development.

Restrictive AI Sovereignty Policies in ASEAN Pose Challenges for Collaboration with the United States

ASEAN countries need to avoid enacting new restrictive and protectionist AI policies that would otherwise make it challenging to cooperate with the United States on AI. Across ASEAN, a new generation of AI and data governance policies is emerging—and with it, a growing emphasis on "AI sovereignty." Several member states are pursuing strategies to secure domestic control over AI infrastructure, data, and models and keep out foreign partners. Others are taking a more enlightened approach to AI sovereignty that emphasizes openness, collaboration, and innovation. While the goal of building local capacity and capabilities is understandable, overly restrictive or protectionist measures risk fragmenting the region's digital economy. They also undermine ASEAN's ability to leverage private-sector partners from the United States and elsewhere as part of an open, competitive, and innovative AI-powered digital economy.

Vietnam's draft Law on Artificial Intelligence, scheduled to take effect in 2026, epitomizes this trend.⁵ The law adopts a risk-based classification system (unacceptable, high, medium, and low) and imposes obligations on providers of general-purpose AI models, including compliance with local standards and disclosure of training data. It also introduces significant penalties and potential system bans for national security concerns. The parallel draft Digital Law goes further, requiring prior authorization for overseas transfers of "core" and "important" data while granting broad access rights to domestic authorities. These localization requirements not only disrupt cross-border AI services but also constrain Vietnamese firms' ability to use global cloud infrastructure.

Indonesia has signaled similar ambitions. Policymakers there have invoked "technological

sovereignty” as a guiding principle for upcoming AI regulations, citing the need to strengthen domestic ecosystems.⁶ While such impulses reflect a legitimate desire to ensure national resilience and inclusivity, they also risk isolating national AI markets from regional and global value chains. A balance must be struck between fostering local innovation and maintaining access to world-leading AI technologies, infrastructure, and partnerships.

This is where the U.S. and ASEAN perspectives on AI sovereignty diverge, but could also converge. As OSTP Director Kratsios remarked in July, “We want everyone in the world who’s developing AI to be using American software.... [W]e have the best chips. We have the best clouds. We have the best models.”⁷ His vision emphasizes the strength, resilience, and accessibility of the U.S. AI stack. Yet, for many ASEAN policymakers, AI sovereignty is more about local impact in terms of developing local expertise and success stories and directing AI deployment in alignment with their own interests.

Aligning these views is essential. ASEAN’s version of sovereignty should be about codevelopment, not isolation—ensuring that AI benefits are shared, local developers are empowered, and regional ecosystems remain open. For U.S. policymakers and firms, this means framing cooperation not as a one-way technology transfer, but as empowerment and partnership in building ASEAN’s own AI capacity. The critical question is whether ASEAN can become a codeveloper in the global AI value chain rather than being merely a recipient of American technologies.

Geopolitical Context: Competing Models for AI Cooperation in ASEAN

ASEAN finds itself at the center of competing models for digital and AI cooperation. One model is shaped by China’s deepening regional presence and engagement. The other is still coming together and recovering from a Biden administration that undervalued the role of private-sector tech and digital

trade partnerships. The difference lies not just in values or governance approaches, but in how each partner turns commitments into tangible impact.

While China has institutionalized its digital and AI engagement with Southeast Asia like many other countries, including the United States, Chinese engagement is noticeable for its breadth, depth, and focus on applications.⁸ Mechanisms include the ASEAN Digital Ministers’ Meeting with China, the Action Plan for Implementing the ASEAN-China Partnership on Digital Economy Cooperation (2021–2025), and the 2024 and 2025 ASEAN-China Digital Work Plans. These programs emphasize AI infrastructure, applications, training, computing power, sub-sea cables, and data flows.⁹ All of this is in addition to the digital economy chapter in the recently upgraded China-ASEAN free trade agreement.

Crucially, China’s approach is highly applied and visibly operational. The establishment of the China-ASEAN AI Application Cooperation Center in Nanning—supported by the “AI Plus” initiative for ministerial-level engagement—signals that China is not merely discussing cooperation but deploying it. The center has already signed over 65 AI cooperation projects—including 16 with ASEAN partners—and collected more than 450 real-world AI application scenarios in sectors ranging from smart healthcare and transportation to social governance and agriculture.¹⁰ China’s model extends to AI infrastructure and connectivity. The China-ASEAN Information Harbor (a flagship project of the Digital Silk Road) has established twelve terrestrial optical cables linking the province of Guangxi with ASEAN countries, supporting cross-border data flows critical for AI model training and deployment. China is also exporting applied AI models through sector-specific pilot programs and training initiatives, such as the China-ASEAN Digital Academy, the Smart Agriculture “Digital Countryside” Innovation Competition, and the China-ASEAN College Students’ AI Application Innovation Invitation Competition.

Collectively, these efforts demonstrate that Beijing's strategy is not limited to high-level dialogue; it is anchored in physical infrastructure, local partnerships, and applied projects that weave Chinese technology and connectivity into ASEAN's digital ecosystems. This "build and operate" model contrasts sharply with the prior U.S. administration's approach, which focused more on governance and ethics frameworks than on large-scale deployments or infrastructure investment. China has rolled out a wide array of programs promoting AI cooperation and digital engagement across Africa, the Middle East, and Latin America. ASEAN, however, stands out as a priority region because of its geographic proximity, digital market scale, and strategic importance. This is reinforced by the rapidly expanding commercial footprint of Chinese tech firms across Southeast Asia, from AI-enabled e-commerce and logistics to cloud computing and smart infrastructure, underscoring Beijing's intention to make ASEAN a showcase for applied AI collaboration.

By contrast, U.S.-ASEAN cooperation has been predominantly governance- and principle-based, focused on creating environments for safe, trustworthy, and interoperable AI. In short, if China has built the applied model of engagement, the United States has built the normative model. The ASEAN-U.S. Digital Work Plan (2023–2025), the ASEAN-U.S. Leaders' Statement on Promoting Safe, Secure, and Trustworthy Artificial Intelligence, and the ASEAN-U.S. Cyber Policy Dialogue all underscore the United States' commitment to standards alignment, ethics, and digital security. These efforts have built valuable diplomatic goodwill and institutional foundations. Yet, compared with China's visible projects, the U.S. government's approach has been less tangible and less commercially catalytic. Obviously, the U.S. private sector helps bridge this gap, but such commercial engagement has lacked clear and consistent U.S. government support.

The challenge for Washington is to formally bridge this gap. The United States already enjoys deep technological, investment, and security ties with ASEAN, and U.S. firms are among the region's most trusted providers of cloud and AI services. But to match the momentum and visibility of China's applied model, Washington and its private-sector partners need to move from frameworks to fieldwork by translating shared principles into codeveloped projects, pilot deployments, and commercial partnerships that deliver immediate benefits across the region. ASEAN's policymakers want a partnership that upholds shared values and AI policies while producing concrete outcomes. Therefore, the next phase of U.S.-ASEAN cooperation should prioritize a codevelopment model that links U.S. technological leadership with ASEAN's policy innovation, market potential, and local AI ecosystems. The goal is to maximize mutual benefits and impact.

Pathways for U.S.-ASEAN AI Cooperation

There are many ways the United States and ASEAN can work together to advance their shared vision for AI impact.

- *Elevate and intensify the U.S.-ASEAN digital and AI dialogue.* In the past, a U.S. State Department official led U.S. engagement. The United States should elevate its engagement on AI. For example, China engages with ASEAN at the ministerial level. While the United States does not have a digital ministry like other countries, U.S. engagement could be led by either OSTP Director Kratsios or the secretary of commerce, along with relevant senior officials from the National Security Council, the Department of Commerce, and the State Department in order to cover all relevant issues, such as AI export promotion, export controls, technical standards, and policy discussions. U.S. government officials should also set up regular working-level engagement with ASEAN's new AI Working Group (currently chaired by Singapore).

- *Establish a U.S.-ASEAN AI impact agenda.*

- *Commercial program (can also include other ideas below).* The United States should make ASEAN a priority project for the Department of Commerce's American AI Exports Program. As part of this, the Trump administration should identify or recruit Department of Commerce commercial service officers experienced in AI to conduct an initial market and competitiveness assessment of AI in ASEAN markets. In parallel, these officers should engage and survey U.S. AI tech stack firms in the region to assess what configuration of the U.S. AI tech stack best fits each market. For example, the U.S. tech stack is more fully present in both Singapore and Malaysia, but less so in the Philippines. Each market would require a different level of U.S. tech. Commerce Department and State Department officials should also engage ASEAN counterparts about their goals and interests regarding AI and how U.S. AI tech solutions can address their needs.
- *Policy program (can also include other ideas below).* The United States should develop an AI adoption and impact toolkit. OSTP could lead the interagency development of this toolkit as part of its AI export program. This should cover infrastructure development, skills and training programs, the role and value of public-private partnerships, open-based data initiatives, public procurement (see below), and cross-border data and AI practices. It should include a flagship public-private AI adoption conference to share emerging best practices on how best to support AI adoption. This could lead to a commercial matchmaking platform and expo.
- *Prioritize the public procurement of AI.* Government adoption is a critical catalyst for broader adoption of technology like AI. The Trump administration's AI procurement

policy is a core part of its AI Action Plan. The United States and ASEAN should share information and best practices about how to use AI in government. U.S. and ASEAN firms can demonstrate their capabilities in how they could help respective governments use AI. It could also cover procurement, security, and other major factors. U.S. companies could then present product portfolios matched against ASEAN government needs.

- *Facilitate ASEAN access to U.S. AI compute.* ASEAN countries are scrambling to develop and access sufficient local compute for AI model training. U.S. firms are the world's largest provider of computing power, and they are already major providers of AI compute in ASEAN. On the promotion side of the ledger, a public-private initiative could gather details about existing and forthcoming AI service offerings in ASEAN to highlight what governments and others in the region can access. On the defensive side of the ledger, the U.S. government should provide guidance about how U.S. compute providers in ASEAN should manage access to cutting-edge AI model training services to address underlying concerns that many potential users would have about access (and being potentially denied or cut off from these services). As part of this, U.S. and ASEAN officials could launch a public-private initiative via an open competition to provide preferential access to U.S. AI compute to stakeholders (whether this be in the private sector, academia, or elsewhere) for select projects in ASEAN.
- *Launch a "trust and use U.S. AI" workstream.* A public-private workstream on why ASEAN stakeholders should trust U.S. AI services is important to building trust when ASEAN stakeholders are considering what AI to adopt. U.S. government (e.g., the Center for AI Standards and Innovation, as discussed below) and industry could showcase policy tools and operational service offerings that actually address underlying sovereignty concerns about the development and deployment of AI and

the data it uses and how these compare with AI and tech services from other major providers.

- *Promote joint innovation and deployment projects and workshops.* The United States (both government and industry) and ASEAN could identify public-private pilot programs for the use of their respective AI in smart agriculture, transportation/logistics, health diagnostics, and other specific use cases to test and deploy U.S. AI in ASEAN. In particular, the two sides could establish a dedicated work program on AI for cybersecurity, given that the United States is home to leading cybersecurity firms.
- *Develop a trusted cloud and AI strategy.* There are significant synergies between cloud and AI technologies as well as overlapping policy issues. The United States should develop a trusted cloud strategy and commercialization program for ASEAN. This would address the cloud layer of the U.S. AI tech stack. ASEAN policymakers need to know and trust how their data and AI are being used and deployed, via audits, certifications, and other legal and administrative tools. U.S. government and industry should also build on existing work with ASEAN to develop an ASEAN-level cloud framework agreement to support greater cloud adoption across the region.
- *Prioritize investment in ASEAN's digital infrastructure.* The United States should align financing tools such as the International Development Finance Corporation with ASEAN priorities for digital infrastructure. In particular, gaps in local digital infrastructure need to be closed, whether this is for undersea cable projects or cloud data centers. The DFC's forthcoming digital infrastructure strategy should prioritize projects in ASEAN and should have staff dedicated to ASEAN.
- *Prioritize AI standards engagement.* The Department of Commerce, the National Institute of Standards and Technology (NIST), and ANSI should prioritize AI standards engagement with ASEAN (under the State Department grant to ANSI for work on standards for new and emerging technologies). This could involve NIST socializing and

building out the crosswalk between its AI Risk Management Framework and Singapore's AI Verify testing framework and how this relates to ASEAN's AI governance guide and other national AI frameworks and strategies.¹¹

- *Develop best practices for AI model evaluation and auditing.* The U.S. Center for AI Standards and Innovation should hold a joint training workshop with ASEAN counterparts on developing best practices for evaluating U.S., ASEAN, and third-country AI systems and how tests can be used to identify potential security vulnerabilities.
- *Conduct joint regulatory agency deep dives on AI.* More countries are using a sectoral approach to AI regulation and development, where regulators issue guidance to provide clarity and certainty about how they apply existing laws (instead of enacting new AI-specific laws). The United States and ASEAN should get respective regulators, such as for financial services, to share emerging best practices on how to regulate AI while encouraging innovation.
- *Set up rapid-response mechanisms for digital trade and AI.* As part of the American AI Exports Program, the U.S. Department of Commerce should set up a rapid-reaction function where it organizes a U.S. counterproposal when U.S. industry or government officials learn of a potential commercial opportunity in ASEAN involving technology from other countries. Similarly, the United States should set up a rapid-response process to enable quick engagement when restrictive or problematic AI or digital laws, regulations, and technical standards emerge that impact AI-based trade and the deployment of the U.S. AI tech stack. This second mechanism would provide technical and policy assistance and advice (alongside U.S. industry) to ensure that legitimate concerns (e.g., about privacy and security) are addressed without creating unnecessary barriers to AI-based digital trade and the deployment of the U.S. AI tech stack.

Conclusion

The United States and ASEAN stand at a pivotal moment in efforts to shape how AI is developed and deployed across the Indo-Pacific. Both sides share a commitment to innovation, openness, and practical cooperation, but realizing AI's full potential will require moving from dialogue to deployment. U.S. AI statecraft should focus on codevelopment, not dominance, through helping ASEAN countries build local capacity, align governance, and scale real-world applications using trusted U.S.

technology. For ASEAN, engaging the United States offers not just access to world-class AI tools but a pathway to embed its own priorities—an enlightened view of AI sovereignty that is cooperative, inclusive, and interoperable—into the global AI economy. A modernized U.S.-ASEAN AI agenda rooted in mutual benefit, interoperability, and tangible outcomes could ensure that AI becomes not another arena of competition but a shared engine of growth, security, and digital trust. ∞

Endnotes

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